

Israel After October 7

War, International Isolation, and the Start-Up Nation's Resilience

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Executive Summary

The Hamas attack of October 7, 2023 is the defining rupture in Israeli national consciousness in a generation. The US intelligence community assessed that the Israel-Hamas conflict sparked by the October 7 attack derailed the unprecedented diplomacy and cooperation generated by the Abraham Accords and the trajectory of growing stability in the Middle East [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2025 (2025-03-01)]. Israel simultaneously confronted a northern confrontation with Hezbollah that escalated dramatically in September 2024 and sustained pressure from Iran and its network of proxies. The country's political, economic, and security architecture was tested simultaneously and to an unprecedented degree. By 2025–2026, the Israeli economy was exhibiting signs of structural decline, Netanyahu's coalition had narrowed to a razor-thin parliamentary majority, and Iran and its proxies remained capable of striking Israel and US allies across the region.

Part I — October 7 and Its Aftermath: The Conflict's Strategic Consequences

The Hamas Attack and Regional Spillover

The Hamas attack against Israel in October 2023 and Israel's responding military campaign in Gaza increased tensions throughout the region as Iranian proxies and partners conducted anti-US and anti-Israel attacks, both in support of Hamas [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2024 (2024-02-05)]. The ODNI assessed that Israel would probably face lingering armed resistance from Hamas for years to come, and that the military would struggle to neutralise Hamas's underground infrastructure, which allows insurgents to hide, regain strength, and surprise Israeli forces [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2024 (2024-02-05)]. The governance and security structures in Gaza and the West Bank, as well as the resolution of the humanitarian situation and rebuilding, were identified as key components of any lasting stabilisation.

Iran's support for Hamas was assessed to potentially weaken Iran's attempts to improve its international stature and attract foreign investment. Iran was expected to remain a threat to Israel and US allies and interests in the region well after the Gaza conflict, and to continue arming and aiding its allies to threaten the United States [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2024 (2024-02-05)]. By early 2026, Iran continued to launch retaliatory strikes on Israel and US allies in the Gulf, and Iran and its proxies remained capable of attacking US and allied interests FT[2026-03-20].

China's Positioning

The People's Republic of China responded to the outbreak of the Israel-Hamas war by seeking to position itself as an advocate for peace in alignment with the Global South in support of the Palestinian

cause. The PRC criticised US support for Israel's response in Gaza as fuelling the conflict, viewed the Red Sea crisis as a spillover effect from the Gaza conflict, and was critical of US military activities in the region [RAG: MILITARY_RAG — 2024 DoD China Military Power Report (2024-12-18)]. In press statements and international fora, the PRC repeatedly called for an immediate ceasefire in Gaza and negotiations leading to a two-state solution [RAG: MILITARY_RAG — 2024 DoD China Military Power Report (2024-12-18)].

Part II — The Northern Front: Hezbollah and Lebanon

The Pager Explosions and Escalation

In September 2024, a series of pager and communications device explosions struck Hezbollah operatives across Lebanon, which analysts described as preparatory measures designed to cripple Hezbollah's communication network and command-and-control capabilities ahead of a possible invasion of southern Lebanon CNA[2024-09-19]. More than 60,000 people had been displaced from their homes near Israel's border with Lebanon since hostilities began almost a year prior. On the other side, hundreds of Hezbollah operatives had been killed and close to 100,000 Lebanese civilians displaced CNA[2024-09-19]. The pager explosions mounted fears of wider conflict, with observers saying an expansion of the war appeared more probable than ever CNA[2024-09-19].

Border Tensions and Ceasefire

Tensions on the Israel-Lebanon border remained high through September 2024, with residents living on either side caught in the crossfire CNA[2024-09-02]. Israel had historically maintained a posture of striking Hezbollah positions and weapons transfers — a pattern documented as far back as 2014 when Israeli forces struck Hezbollah targets on the Lebanon-Syria border CNA[2014-02-25], CNA[2014-03-18]. A ceasefire agreement between Israel and Hezbollah came into effect on November 27, 2024. Singapore welcomed the agreement and called for all parties to respect and comply with its terms, simultaneously calling for an end to the Gaza war CNA[2024-11-27].

Part III — Israel's Defence Industry and Technology Ecosystem

Elbit Systems and the Arms Export Dimension

Israel defence firm Elbit Systems has been active in international defence technology markets. In 2016, Elbit won a deal from South Korean software services company Samsung SDS to protect its customers against cyber threats and attacks on industrial control systems through its cyber unit Cyberbit CNA[2016-11-16]. Israel has also been a significant arms supplier to major buyers: as of 2014, India — the world's largest arms buyer, accounting for 14 per cent of total global arms imports — identified Israel as one of its top suppliers CNA[2014-05-26].

UK Arms Export Restrictions

The Gaza campaign triggered significant pressure on Israel's defence export relationships. In September 2024, the UK stopped some arms exports to Israel, with Foreign Secretary David Lammy stating there was a "clear risk" that some items could be used to "commit or facilitate a serious violation of international humanitarian law" CNA[2024-09-03].

Defence Build-Up Planning

The Iranian campaign against Israel cost approximately \$8 billion, with half going to armaments and air-defence interceptor missiles FT[2026-01-28]. Israel's defence establishment was planning a \$100 billion defence build-up for the coming decade, set to start in 2027 FT[2026-01-28]. The US missile

defence architecture, including Aegis Ballistic Missile Defence ships in the Mediterranean Sea, represents part of the cooperative defence system in place in the Middle East [RAG: MILITARY_RAG — CRS Defense Primer: U.S. Ballistic Missile Defense (2024-12-30)].

Part IV — Geopolitics: Alliance Architecture Under Stress

The Palestinian State Question

The formation of a future Palestinian state is complicated by the sheer number of Israeli settlers in the occupied territories and the barriers Israel has constructed to separate Palestinians. A future state consisting of the West Bank, Gaza Strip, and East Jerusalem faces formidable practical barriers that make its realisation deeply uncertain CNA[2025-08-13]. The West Bank settlements remain a persistent source of international friction: the EU, for instance, formalised a binding policy from 2014 under which only territories within the 1967 borders would be considered eligible for EU funding CNA[2013-07-21]. Airbnb's 2018 decision to remove approximately 200 listings in West Bank settlements — which Israel called a "wretched capitulation" and Palestinians hailed as a step towards peace — illustrated the ongoing commercial and reputational dimensions of the settlements issue CNA[2018-11-20].

Part V — Domestic Politics and Social Cohesion: The Strains of War

Coalition Fragility

By July 2025, one of Israel's ultra-Orthodox parties, United Torah Judaism (UTJ), quit Prime Minister Benjamin Netanyahu's government over a conscription bill, leaving Netanyahu with a razor-thin majority of 61 seats in the 120-seat Knesset CNA[2025-07-15]. The move reflected the persistent tension within Netanyahu's coalition between religious communities resistant to military conscription requirements and the broader demands of a country engaged on multiple military fronts.

Media and Institutional Pressure

In December 2025, the Netanyahu government moved to shut down Israel's Army Radio, one of only two state-funded news outlets in Israel alongside public broadcaster KAN. Both are editorially independent with large civilian audiences, despite Army Radio's formal military affiliation. Defence Minister Katz argued that an army-run radio station broadcasting to the general public was an anomaly in democratic states, and Netanyahu echoed that argument CNA[2025-12-23].

Netanyahu himself appeared in court in December 2025 following a pardon request backed by US President Trump. Opposition politicians came out against the request, with some arguing that any pardon should be conditional on Netanyahu retiring from politics CNA[2025-12-01].

Economic Deterioration

The economic costs of the multi-front war and Netanyahu's rule had become increasingly apparent. Economists described the Israeli economy as experiencing structural decline becoming clear, with cumulative GDP growth of only 0.2 per cent — a figure described as "meagre" — alongside emigration and trade sanctions causing further decline FT[2025-09-29]. Forecasts for annual GDP growth were characterised as highly unrealistic given these structural headwinds FT[2025-09-29].

Conclusion

Israel's post-October 7 strategic position is defined by the tension between genuine security achievements and compounding structural costs. The October 7 attack derailed the Abraham Accords'

trajectory of regional normalisation and set off a multi-front conflict whose consequences extended well into 2025 and 2026 [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2025 (2025-03-01)]. Iran and its proxies remain capable of striking Israel and US allies across the region FT[2026-03-20], while Israel's planned \$100 billion defence build-up for the coming decade reflects the scale of the military challenge FT[2026-01-28]. Domestically, coalition fragility, economic stagnation, and institutional pressure on independent media point to a polity under sustained strain CNA[2025-07-15], CNA[2025-12-23], FT[2025-09-29]. The Palestinian state question — complicated by settlements, barriers, and the absence of a credible post-war governance framework — remains unresolved CNA[2025-08-13]. The ceasefire with Hezbollah of November 2024 provided a partial respite on the northern front CNA[2024-11-27], but the broader regional architecture remains fragile.

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All claims sourced from RAG evidence bundle harvested 2026-08-28. RAGs: CNA_RAG, MILITARY_RAG, FT_RAG. Primary sources: ODNI Annual Threat Assessments 2024–2025; 2024 DoD China Military Power Report; CNA live articles; Financial Times ePaper editions.